



The Key Changes

EXEMPTION LIMITS

Basic exemption up by Rs 15,000 for senior citizens and by Rs 10,000 for others.

Annual tax liability will dip marginally by Rs 1,000-1,500.

SURCHARGE

The 10 per cent surcharge on tax on Rs 10 lakh plus incomes removed.

Benefits high income group. Savings of Rs 5,000 for those earning Rs 2 lakh/month.

FRINGE BENEFIT TAX

Tax paid by companies on perks given to staff scrapped.

Positive for corporates but its benefits may not be passed on to employees.

GIFT TAX

Value of gifts in kind by non-relatives included in total exemption limit of Rs 50,000.

Gift tax evasion by giving ornaments will be discouraged.

Big Benefits for KHAS AADMI

The tax proposals in the Budget benefit the rich more

Experts may describe the Budget as “populist” but when it comes to tax proposals, the *aam aadmi* has been given the short shrift by the finance minister. If you are earning less than Rs 10 lakh a year, the change in the tax exemption limit will put just Rs 1,030 more in your pocket or Rs 100 a month. Compare this with the monthly tax relief of over Rs 5,000 that someone earning Rs 2 lakh a month will get. That’s because the 10 per cent surcharge on tax for incomes above Rs 10 lakh has been scrapped. There are other reasons to believe that the Budget benefits the super rich more than anybody else. Currently, a 1 per cent tax is

payable if the value of an individual’s unproductive assets (vacant property, jewellery, cash, etc) exceeds Rs 15 lakh. This limit has been raised to Rs 30 lakh. “The Budget proposals are more beneficial for the rich and high income earners,” says Ankur Sharma, managing director of tax filing portal Taxspanner.com.

The removal of the fringe benefit tax (FBT) is good news for companies because they will no longer have to pay tax on the benefits provided to employees. But whether they will pass on the benefit to employees is not clear. On the face of it, removal of FBT means that salary structures may become more tax friendly. But the Budget also talks of some perks being

taxed in the hands of the employee.

Another pinprick is the change in the definition of “gift”. Till now, if you received cash gifts of more than Rs 50,000 from individuals other than some specified close relatives, you had to pay tax. One way to avoid this tax was to receive the gift in kind—ornaments, appliances, vehicles. The Budget has changed this. From October 1, the value of the gifts given in kind will also be included while computing the gift tax liability. Bad news for those who were expecting big presents from friends and distant relatives this year.

The finance minister also talked of possible reintroduction of the Saral form. That’s a cause for concern because just when taxpayers were getting used to filing their returns using ITRs, the Government plans to change it. ITRs are lengthy but easy to fill. Besides, one can use an intermediary to file returns by paying as little as Rs 120-150. Delhi-based tax expert Surya Bhatia, however, says if ITRs can be simplified without the need for annexures, the proposed Saral-II may not be such a bad idea. “It would be good if the new form seeks the same information as ITRs in a more concise form,” he says.

by Babar Zaidi

Impact ON TAX High-income earners will save more in taxes

Annual Income	Existing Tax	liability Proposed	Savings	As % of Tax
2,50,000	0	0	0	0
6,00,000	56,650	55,620	1,030	1.8
12,00,000	2,66,260	2,41,020	25,240	9.5
20,00,000	5,38,180	4,88,220	49,960	9.3
24,00,000	6,74,140	6,11,820	62,320	9.2

Calculations are for male taxpayers and assume full Rs 1 lakh deduction under Section 80C of the Income-Tax Act. The savings are higher in case of females and senior citizens.

*Figures in rupees